GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

DUE DILIGENCE POLICY

Document Information	
Policy Name	Due Diligence Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
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Next Review Date	01/02/2028
Related Policies	Anti-Money Laundering Policy, Anti-Bribery Policy, Conflict of Interest Policy, Counter Extremism Policy, Safeguarding Policy, Grant-Making Policy

1. Introduction and Purpose

1.1 Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom, with a particular focus on members of the Muslim community. The Charity distributes Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity) funds to eligible beneficiaries.

As trustees of the Charity, we have a duty to protect the Charity's assets, reputation, and beneficiaries. This includes ensuring that we know who we are dealing with – whether donors, beneficiaries, or other third parties – and that our activities do not inadvertently support illegal activities, expose the Charity to unacceptable risks, or bring the Charity into disrepute.

This Due Diligence Policy sets out our approach to verifying the identity and suitability of those we work with, proportionate to the level of risk involved.

1.2 Purpose

The purpose of this policy is to:

- Protect the Charity from financial crime, including fraud, money laundering, terrorist financing, and sanctions breaches
- Ensure charitable funds (including Zakat and Sadaqah) are used appropriately and reach intended beneficiaries
- Verify that donors and beneficiaries are suitable for the Charity to work with
- Protect the Charity's reputation
- Comply with regulatory requirements, including Charity Commission guidance
- Identify and manage conflicts of interest
- Provide a clear framework for trustees and volunteers to follow

1.3 Regulatory Context

This policy is informed by Charity Commission guidance, particularly the Compliance Toolkit: Protecting Charities from Harm, which includes guidance on knowing your donor and the end use of charitable funds. The Charity Commission expects trustees to conduct proportionate due diligence to protect their charity.

2. Scope

This policy applies to due diligence conducted on:

- **Donors** – individuals and organisations making donations to the Charity, particularly significant or unusual donations
- **Beneficiaries** – individuals applying for Zakat, Sadaqah, or other charitable assistance
- **Speakers and event participants** – individuals invited to speak at Charity events or represent the Charity
- **Volunteers** – individuals volunteering for the Charity in significant roles
- **Suppliers and contractors** – where the Charity procures goods or services
- **New trustees** – individuals being considered for appointment as trustees

3. Risk-Based Approach

3.1 Principle

The Charity takes a risk-based approach to due diligence. This means the level of checks undertaken should be proportionate to the level of risk involved. Not every transaction or relationship requires the same level of scrutiny – a small donation from a regular donor presents different risks from a large anonymous donation.

3.2 Factors Affecting Risk Level

When assessing the level of due diligence required, consider:

- **Amount involved:** Is the amount substantial in the context of the Charity's operations?
- **Familiarity:** Is this a known and trusted individual or organisation, or are they new to the Charity?
- **Complexity:** Is the arrangement straightforward or unusually complex?
- **Conditions:** Are there unusual conditions attached to a donation or arrangement?
- **Sensitivity:** Does the relationship or transaction involve any sensitive matters?
- **Potential for harm:** What could go wrong, and how serious would the consequences be?
- **Reputational risk:** Could association with this individual or organisation damage the Charity's reputation?

3.3 Levels of Due Diligence

The Charity operates three levels of due diligence:

Standard Due Diligence: Basic identity verification and checks, appropriate for routine, low-risk transactions and relationships.

Enhanced Due Diligence: More detailed checks where the risk level is elevated, such as larger amounts, unfamiliar parties, or unusual circumstances.

Simplified Due Diligence: Minimal checks where the risk is clearly very low, such as small cash donations at public events.

4. Due Diligence on Donors

4.1 Know Your Donor

The Charity Commission expects charities to know where their money comes from. Accepting donations from inappropriate sources could expose the Charity to legal risk or reputational damage. At the same time, we recognise that excessive checks could deter legitimate donors.

4.2 Donation Thresholds

The level of due diligence on donors depends on the amount and nature of the donation, as set out in the Anti-Money Laundering Policy:

Donation Amount	Due Diligence Required
Under £100	Simplified: Basic receipt issued. No identity verification required unless concerns arise.
£100 – £2,000	Standard: Record donor's name, address, contact details, and purpose of donation (Zakat/Sadaqah/general). Issue receipt.
£2,001 – £5,000	Enhanced: As above, plus verify identity (photographic ID and proof of address). Board approval required.
Over £5,000	Enhanced: As above, plus establish source of funds (where did the money come from?). Full Board approval and documented rationale.

Cash over £1000	Enhanced: Enhanced due diligence applies regardless of amount. Record identity and source of funds.

4.3 Donations Requiring Extra Scrutiny

Additional scrutiny is required for:

- Anonymous donations (the Charity generally does not accept anonymous donations over £100)
- Donations with unusual conditions attached
- Donations where the source of funds is unclear
- Donations from individuals or organisations the Charity does not know
- Donations that appear disproportionate to the donor's apparent means
- Donations from Politically Exposed Persons (PEPs)
- Donations where the donor requests confidentiality without good reason
- Offers of short-term loans to be repaid later (potential money laundering indicator)

See also the Anti-Money Laundering Policy for prohibited donation types and red flags.

5. Due Diligence on Beneficiaries

5.1 Zakat and Sadaqah Distribution

The Charity distributes Zakat and Sadaqah funds to individuals in financial hardship. Islamic principles require Zakat to be distributed to specific categories of eligible recipients. The Charity must therefore verify that beneficiaries are eligible to receive assistance.

5.2 Beneficiary Eligibility Verification

Before making grants to beneficiaries, the Charity will:

- Verify the beneficiary's identity (ID, proof of address)
- Assess their financial circumstances to confirm eligibility (bank statements, benefit letters, evidence of income)
- For Zakat applications, verify eligibility under Islamic criteria
- Record the specific need being addressed
- Where applications are received via charitable organisations, obtain confirmation that they have conducted appropriate checks
- For grants above £2000, conduct enhanced verification and obtain Board approval

5.3 Sanctions Screening

The Charity will not knowingly provide assistance to individuals or organisations subject to UK financial sanctions. For significant grants, beneficiaries' names will be checked against the HM Treasury Consolidated Sanctions List.

6. Checks on Organisations

When conducting due diligence on organisations (whether donors, referrers or others), the following checks should be considered, proportionate to the level of risk:

6.1 Basic Checks

- Review the organisation's website – does what they propose fit with their stated activities?
- Conduct an internet search on the organisation and key individuals – are there any concerns?

- Check the Charity Commission register (for charities) or Companies House (for companies)
- Review available annual reports and accounts
- Speak to someone who has worked with them, if possible
- Take up references where appropriate

6.2 Additional Checks (for Higher-Risk Situations)

Ethics and Values:

- Are their activities compatible with the Charity's values?
- Any involvement in activities that are illegal, discriminatory, or harmful?
- Any links to extremism or proscribed organisations?
- Do they have adequate safeguarding procedures?

Regulatory Compliance:

- Any regulatory breaches, investigations, or legal proceedings?
- Is the organisation properly registered with relevant regulators?
- For individuals: check for bankruptcy, director disqualification, or Charity Commission automatic disqualification

Financial Health:

- Review financial statements – any concerns about viability?
- Any adverse comments in audit reports?
- Any court judgements or significant debts?

Ability to Deliver:

- Track record in delivering similar work?
- Adequate capacity and resources?
- Key person dependency risks?

7. Checks on Individuals

Where appropriate, due diligence on individuals may include checking whether the person:

- Is currently bankrupt or subject to an Individual Voluntary Arrangement (IVA)
- Is disqualified from being a company director
- Has been removed as a trustee by the Charity Commission or High Court
- Is subject to Charity Commission automatic disqualification
- Is on the HM Treasury sanctions list
- Has any adverse media coverage

Privacy should be respected – only conduct checks where there is a legitimate purpose, keep findings secure, and do not retain information longer than necessary.

8. Sanctions Compliance

It is against the law to receive money, goods, or economic resources from, or send these to, an individual or organisation subject to UK financial sanctions. The Charity must not deal with sanctioned individuals or organisations.

Key sources for sanctions information:

- HM Treasury Consolidated Sanctions List
- Home Office Proscribed Terrorist Organisations list
- Office of Financial Sanctions Implementation (OFSI) guidance

If there are any grounds to suspect the Charity may be involved, or may become involved, with a sanctioned individual or organisation, trustees should immediately seek guidance from OFSI and legal advice if necessary. See also the Anti-Terrorism Policy.

9. Speakers and Volunteers

9.1 Speakers

Before inviting speakers to Charity events, appropriate due diligence should be conducted as set out in the Counter Extremism Policy. This includes internet searches, review of previous talks, and checks against proscribed organisations.

9.2 Volunteers

For volunteers in significant roles (particularly those handling cash, having contact with beneficiaries, or representing the Charity publicly), appropriate checks should include verifying identity, taking up references, and for roles involving contact with vulnerable people, DBS checks. See also the Safeguarding Policy and Volunteer Management Policy.

9.3 New Trustees

Before appointing new trustees, full due diligence should be conducted, including verification of identity, Charity Commission automatic disqualification check, bankruptcy check, director disqualification check, references, and internet search. Trustees must also make a declaration that they are not disqualified from acting as a trustee.

10. Roles and Responsibilities

10.1 Board of Trustees

The Board of Trustees is collectively responsible for:

- Approving this policy and ensuring it is implemented
- Approving donations over £1,000 and grants to beneficiaries over £1,000
- Approving grants to other organisations
- Making decisions on whether to accept or refuse donations where concerns arise
- Reviewing due diligence findings and making informed decisions
- Reporting serious incidents to the Charity Commission

10.2 Chair of Trustees

The Chair has delegated responsibility for overseeing day-to-day due diligence, including initial assessment of donor and beneficiary applications, coordinating due diligence checks, escalating concerns to the Board, and maintaining due diligence records.

10.3 All Trustees and Volunteers

All trustees and volunteers must be familiar with this policy, conduct appropriate checks within their areas of responsibility, report concerns promptly, and maintain confidentiality of sensitive information.

11. Conflicts of Interest

Due diligence findings should be reviewed and approved by someone with appropriate experience and seniority who is sufficiently independent from the matter. Where a trustee has a personal connection to a donor or beneficiary, they should declare this conflict and withdraw from the decision-making process. See the Conflict of Interest Policy.

12. Record Keeping

The Charity will maintain records of due diligence conducted, including:

- Donor records (identity verification, source of funds checks)
- Beneficiary records (eligibility assessments, identity verification)
- Speaker vetting records
- Decisions and rationale (including any decisions to refuse donations)

Records should be retained for six years. Sensitive personal data must be stored securely and handled in accordance with data protection law. See the Data Protection Policy.

13. Reporting Concerns

If due diligence reveals serious concerns, trustees should consider whether to report to the relevant authorities. This may include reporting to the Charity Commission (serious incidents), National Crime Agency (money laundering suspicions), Police (criminal activity), or OFSI (sanctions issues). See also the Anti-Money Laundering Policy and Whistleblowing Policy.

14. Review

This policy will be reviewed by the Board of Trustees every two years, or sooner if:

- There are significant changes to regulatory guidance
- A serious incident highlights gaps in the policy
- The Charity's activities change significantly
- The Board identifies a need for updates

15. Related Policies and Guidance

Related Policies:

- Anti-Money Laundering Policy
- Anti-Bribery Policy
- Conflict of Interest Policy
- Counter Extremism Policy
- Anti-Terrorism Policy
- Safeguarding Policy
- Grant-Making Policy
- Data Protection Policy
- Whistleblowing Policy

Charity Commission Guidance:

- Compliance Toolkit: Protecting Charities from Harm
- Know Your Donor – Key Questions
- Know Your Partner – Key Issues
- End Use of Charitable Funds
- Reporting Serious Incidents

Other Resources:

- HM Treasury – Consolidated Sanctions List
- OFSI – Charity Sector Guidance on Sanctions
- Home Office – Proscribed Terrorist Organisations
- Companies House / Charity Commission registers

16. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

17. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Due Diligence Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

Appendix 1: Due Diligence Checklist

Use this checklist when conducting due diligence. The level of checks should be proportionate to the risk.

FOR DONORS (Enhanced Due Diligence – donations over £2,000 or where concerns arise):

1. Verify identity (photographic ID, proof of address)
2. Record name, address, contact details
3. Establish source of funds – where did the money come from?
4. Internet search on donor's name
5. Check HM Treasury sanctions list
6. Note the purpose of donation (Zakat/Sadaqah/general)
7. Note any conditions attached
8. Document findings and obtain Board approval

FOR BENEFICIARIES:

9. Verify identity (photographic ID, proof of address)
10. Assess financial circumstances (bank statements, benefit letters)
11. For Zakat: verify eligibility under Islamic criteria
12. Record the specific need
13. For grants over £2,000: enhanced verification and Board approval
14. Check HM Treasury sanctions list (for significant grants)
15. Document findings

FOR PARTNER ORGANISATIONS:

16. Review website and publicly available information
17. Check Charity Commission register (if a charity)
18. Check Companies House (if a company)
19. Review annual report and accounts
20. Internet search for adverse information
21. Check key individuals against sanctions lists
22. Confirm safeguarding policies in place (where applicable)
23. Take up references or speak to others who have worked with them
24. Document findings and obtain Board approval
25. Prepare written agreement

FOR NEW TRUSTEES:

26. Verify identity
27. Check Charity Commission automatic disqualification register
28. Check for bankruptcy/IVA
29. Check for director disqualification
30. Internet search
31. Take up references
32. Obtain trustee eligibility declaration
33. DBS check (if applicable)

--- End of Policy ---